

models for every type of consumer. That arbitrage spread closed many years ago. It is no surprise both businesses have had a very hard time making any money for quite a while. Their founding arbitrage spreads are history, and Ford and General Motors are the successful ones. Thousands of auto companies formed in the early days of the automobile had very thin arbitrage spreads and quickly vanished from the scene.

When I lived in Naperville, Illinois, in the 1980s, there was a strip shopping center very close to my home. The anchor tenant was an Eagle Grocery store. Other tenants included a Chinese take-out restaurant, a State Farm insurance agency, a hair salon, and so on. Each time I drove by that strip center, it surprised me how many of the businesses had changed. I thought many times that if I took a picture of the entire strip on January 1 of every year, then combined all the pictures into a book, I would find some change in the pictures every year. The last time I checked, the State Farm agent was still there—and it's been nearly 20 years.

Some businesses have narrower moats than others. The Eagle Grocery went bankrupt a few years later—selling groceries is a very tough business. After about 10 years, I noticed that except for the hair salon and State Farm, nearly all the tenants had changed. The hair salon has recurring revenues from a stable client base, and people need auto insurance. Over the next few decades, as GEICO and Progressive pick off the State Farm policy holders, that office may close as well.

An enduring Dhandho arbitrage spread is what Warren Buffett called a moat when responding to a question at the 2000 Berkshire Hathaway annual meeting in Omaha, Nebraska:

We like to own castles with large moats filled with sharks and crocodiles that can fend off marauders—the millions of people with capital that want to take our capital. We think in terms of moats that are impossible to cross, and tell our managers to widen their moat every year, even if profits do not